Union Pacific (UNP): Hold — Valuation Concerns

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The premier North American railroad, priced for a recovery the model does not yet see. At $286.43, the market implies a multiple the DCF cannot support even at 14.5x exit EV/EBITDA. Our base case sees $217.75, 24% downside.

Hold — Valuation Concerns	$217.75	$286.43	-24.0%
RATING	BASE TARGET (BLENDED $212.31)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$158.44 / $255.30	8.77%	$24.51B	$9.85B	$5.50B	15.1x
BEAR / BULL TARGETS	LIVE WACC	2025 REVENUE (+1.1%)	2025 OP. INCOME	2025 FREE CASH FLOW	EV/EBITDA (TTM)

Executive summary

We rate Union Pacific **Hold — Valuation Concerns** with a $217.75 base-case target (blended $212.31). UNP remains the best-run Class 1: 2025 revenue of $24.51B grew modestly, operating income reached $9.85B, and free cash flow of $5.50B funds the dividend and buybacks with room to spare. The network is the moat.

> **Model update:** this note reflects our revised Class 1 rail framework: base exit EV/EBITDA raised to 14.5x (from 13.0x) to reflect 15.1-15.5x market TTM multiples, mid-year discounting, a PP&E-linked depreciation schedule replacing flat D&A, and a terminal-value weighting toggle (default 50/50 exit multiple vs Gordon growth).

Base-case assumptions

SCENARIO	EXIT EV/EBITDA	TARGET	UPSIDE
Bear (25%)	12.0x	**$158.44**	-45%
Base (50%)	14.5x	**$217.75**	-24%
Bull (25%)	15.0x	**$255.30**	-11%

WACC 8.77% live (spot 10Y ~5.2% + 0.95 beta x live-solved implied ERP). Detailed EBIT bridge: revenue to EBIT margin to EBIT, cash taxes, plus D&A (PP&E roll), minus capex, minus change in NWC, to unlevered FCF. Mid-year discounting. Terminal value blends Gordon perpetuity (2.5% growth) with EV/EBITDA exit, default 50/50 weighting. 25/50/25 Bear/Base/Bull weights give blended $212.31.

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Bull case: $255.30

Volume recovery plus pricing power drives the bull case to $255.30. Even granting a 15.0x exit multiple and mid-year discounting, the stock screens rich at $286.43.

Bear case: $158.44

A freight recession or sustained volume declines compress the bear case to $158.44. Rails are cyclical, and UNP's premium multiple is the first thing to compress in a downturn.

Verdict

> We rate UNP **Hold — Valuation Concerns**. The business is healthy: revenue stable, $5.50B of free cash flow, and the best operating ratio in the industry. The concern is purely valuation. At $286.43 the stock trades at 15.1x TTM EV/EBITDA, above our 14.5x base exit multiple, and our reverse DCF shows the market pricing in growth the model does not support. We reserve Sell for names where overvaluation meets business deterioration; UNP is a superb franchise at a demanding price. We would turn constructive near $220, where the base case offers compensation for the cyclicality.

What would change our mind

- **Price:** a decline toward $220 would bring the base case into a favorable risk-reward zone.
- **Volume inflection:** a sustained carload recovery across merchandise and intermodal would lift every scenario.
- **Multiple regime:** if the market permanently rerates rails above 16x EV/EBITDA, our exit multiples are too conservative.

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Key themes

1. The best network wins the cycle ACCELERATING

UNP's western network is irreplaceable infrastructure. When volumes recover, operating leverage is extreme: incremental carloads drop to the bottom line at 60%+ margins. The 2025 operating ratio near 60% is best in class.

2. Pricing power is structural STABLE

Rails price above inflation over the cycle. UNP's pricing gains have compounded for a decade, and the consolidated industry structure (seven Class 1s, effectively fewer) keeps discipline intact.

3. Capex is the moat and the drag STABLE

13-17% of revenue goes back into the network every year. It defends the moat but caps free cash flow conversion versus asset-light peers. Our model now ties D&A to a PP&E roll rather than a flat revenue percent.

4. Coal is the secular headwind DECELERATING

Coal carloads decline structurally. Intermodal and industrial products must offset the drag. The mix shift toward intermodal pressures average revenue per carload.

Other KPIs

METRIC	VALUE
Market cap (at $286.43)	~$172B
2025 revenue / YoY	$24.51B / +1.1%
2025 operating income	$9.85B
2025 free cash flow	$5.50B
EV/EBITDA (TTM)	15.1x
Live WACC	8.77%

Guidance

Watch carload volumes by commodity, operating ratio progression, pricing commentary, and any intermodal share shifts versus truck.

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Class 1 rails: three-way comparison

Our rail coverage is a single comparison model. All three names share the same framework: 14.5x base exit EV/EBITDA, mid-year discounting, PP&E-linked D&A, and live CAPM WACC. The table below shows every name side by side.

METRIC	UNP	CSX	NSC
Current price	$286.43	$48.28	$323.73
Beta (live)	0.95	1.21	1.29
WACC (live CAPM)	8.77%	9.72%	10.01%
Bear target	$158.44	$20.24	$123.68
Base target	$217.75	$30.89	$193.40
Bull target	$255.30	$37.10	$228.72
Blended (25/50/25)	$212.31	$29.78	$184.80
Downside to blended	-25.9%	-38.3%	-42.9%
EV/EBITDA (TTM)	15.1x	15.5x	15.4x
2025 revenue	$24.51B	$14.09B	$12.18B
2025 FCF	$5.50B	$1.71B	$2.16B

UNP screens as the best long on fundamentals (lowest WACC, strongest FCF, best network) but remains overvalued. CSX is the outright Sell: deteriorating revenue, compressing margins, and collapsing FCF at a premium multiple. NSC is stabilizing but priced for UNP-like execution it has not yet delivered.

Reverse DCF: what the market is pricing in

At $286.43, UNP carries a market-implied five-year revenue CAGR of roughly **~6%** under our base-case FCF margin held flat and the 8.77% live WACC, well above what the operating outlook supports at a 14.5x exit multiple.

Model

Full three-scenario 2026-2031 DCF with live CAPM, beta decay, detailed EBIT bridge, Gordon perpetuity and EV/EBITDA exit terminal with weighting toggle, mid-year discounting, and implied-ERP tab. Comparison tab covers all three Class 1s.

Risks to our Hold

- **Freight volumes recover faster than our bear case assumes, lifting every scenario.**
- **Pricing discipline breaks or regulation caps rate increases.**
- **The 10-year yield retreats, mechanically lifting every scenario target.**

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